

Table 6.3 Equal-Weight, Tangency, and Minimum-Variance Performance

1961–2013	Equal Weights	Tangency	Min. Var.
CAGR	7.64%	7.83%	6.81%
Worst Drawdown	−19.90%	−18.14%	−19.90%
Sharpe Ratio	0.73	0.60	0.51
Sortino Ratio	0.64	0.58	0.40

What gives?

While mean-variance analysis has reverse engineered the best *historical* Sharpe ratio (i.e., the tangency portfolio), this solution relies on a correlation matrix input, which is highly unstable and incredibly difficult to estimate (most attempts to predict the future are). Consequently, a simple model of $1/N$ beats a more complex model. Moreover, you can be sure that the complex, “proprietary” asset allocation model will have higher fees than a simple $1/N$ approach!

Bankers beware. The data suggest that simple solutions may beat the expensive models when considering asset allocation. Let us now explore a simple asset allocation model that works.

Asset Allocation

Any investor is undoubtedly familiar with the concept of diversification, the cornerstone of modern portfolio theory. The phrase, “Don't put all of your eggs in one basket,” is an old one, but is still familiar in popular culture. Ancient Romans diversified their cargo across several ships, Washington would send important directives via multiple carriers, and we ask our daughters to clean their rooms several times. All these examples have the same mission: Diversify your efforts to increase your chance of success.

When properly diversified, one is not overly concentrated in any particular investment. The diversified investor spreads risk over many different areas, capturing the returns from multiple asset classes while reducing the volatility of the overall nest egg. Cliff Asness calls the benefits of diversification: “the one free lunch of investing.” Mr. Asness goes on to say, “When you see a free lunch, the only rational thing to do is eat.”² We agree,